



**ZIMBABWE INTEGRATING CAPITAL AND RISK PROGRAMME
(‘ZICARP’)**

**TS 1 – Overall Technical Specification on the Risk Based Capital
Framework**

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1. Introduction

- 1.1 **Section 5 of the Insurance Act [Chapter 24:07]** mandates the Insurance and Pensions Commission ('IPEC' or the 'Commission') to achieve the following among other objectives:
- 1.1.1 Protection of the rights, benefits and other interests of policyholders and beneficiaries;
 - 1.1.2 Monitoring of the solvency of insurers and the maintenance of sound insurance principles and practices in the conduct of insurance business in Zimbabwe; and
 - 1.1.3 The regulation and strengthening of the insurance market in Zimbabwe.
- 1.2 Against this statutory mandate, IPEC has developed the Zimbabwe Integrating Capital and Risk Programme ('ZICARP').
- 1.3 Technical Specifications 1 to 6 (the 'Pillar I Specifications') have been developed to implement Pillar I of ZICARP. They were launched to the insurance industry on 22 June 2021 with the issuance of Circular 23 of 2021.
- 1.4 This updated Technical Specification 1 Version 3 ('TS 1') provides a concise high-level overview of Pillar I of ZICARP. It applies to all insurers that are licensed and supervised by the Commission.
- 1.5 Governance & Risk Specification ('GRS') 1 to 12 (the 'Pillar II Specifications') implement Pillar II, whereas Disclosure Specification ('DS') 1 to 9 (the 'Pillar III Specifications') implement Pillar III.
- 1.6 A glossary and abbreviations used in the Pillar I, II and III Specifications (collectively 'the ZICARP Specifications') are summarised in Section 17.
- 1.7 The GRS's and DS's cited in paragraph 1.5, read together with the TS's, will therefore provide the key principles and requirements to be adhered to by all insurers in solvency assessment and management under the ZICARP framework.

- 1.8 The term insurer or company shall mean all life insurance, non-life insurance, cell insurance, micro-insurance and reinsurance companies licensed and supervised by IPEC.
- 1.9 Similarly, a reference to "insurance" obligations/policies in this Standard can be read as a reference to "reinsurance, or micro-insurance, or funeral assurance, or cell insurance" obligations/policies, unless otherwise specified.
- 1.10 The ZICARP Specifications have been adapted from Insurance Core Principles of the International Association of Supervisors, the Solvency Assessment and Management regime of South Africa, the Solvency II regime of Europe and other leading risk-based capital regimes. Therefore, some of the wording and positioning may mirror this best practice.
- 1.11 The ZICARP Specifications have further been enriched from submissions received from the Actuarial Society of Zimbabwe ('ASZ') and the broader Insurance Industry in Zimbabwe.

2. Objectives and Effective Date of TS 1

TS1 Objectives

- 2.1 The primary objectives of this updated TS 1 are to:
- 2.1.1 Provide a high-level overview of ZICARP Pillar I requirements;
 - 2.1.2 Outline the Roles and Responsibilities within an insurance company under ZICARP Pillar I;
 - 2.1.3 Discuss each aspect of the ZICARP Balance Sheet which is used to assess the financial soundness of an insurance company;
 - 2.1.4 Explain the principles, requirements, adaptations and simplifications that affect how assets, liabilities and capital requirements are calculated under Pillar I; and
 - 2.1.5 Outline Pillar I Interim Measures that are adopted under ZICARP to deal with unique features of the Zimbabwean economy and insurance industry.

ZICARP Interim Measures

- 2.2 Interim Measures have specifically been provided for in the rollout of the ZICARP framework and these have been informed by the following:
- 2.2.1 The current lack of deep financial markets in Zimbabwe, for example in the bond market;
 - 2.2.2 Volatility in the current macro-economic environment; and
 - 2.2.3 Structure and characteristics of the insurance industry, for example the simple nature of the insurance products currently on offer, and the levels of resources in terms of systems and people that insurance companies currently possess.

Effective Date

- 2.3 The Effective Date of this updated TS 1 Version 3 and the ZICARP Specifications is 1 January 2023.

3. Overview of ZICARP

- 3.1 ZICARP is a principles-based solvency assessment and management regime introduced by IPEC with the aim of establishing capital requirements and risk management standards that result in greater alignment between the risks faced by an insurer and the capital it requires to remain an ongoing concern.

ZICARP 3 Pillar Approach

- 3.2 ZICARP is premised on three broad pillars as shown below:

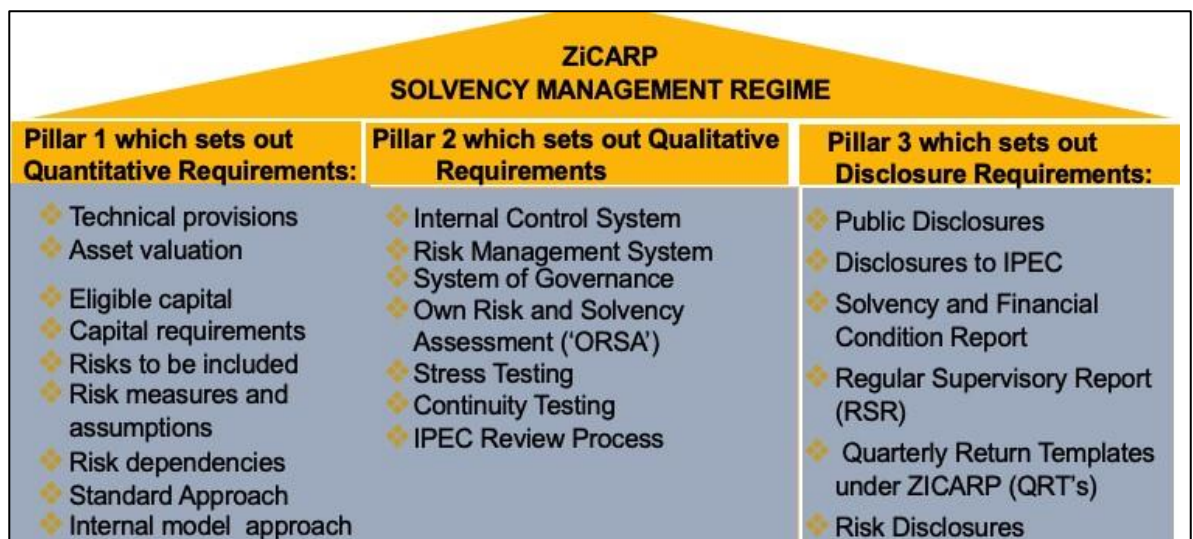


Figure 1: Three Pillars of ZICARP

- 3.3 Circular 23 of 2021 gave effect to the ZICARP Framework and set out the principles and quantitative requirements under Pillar I of the ZICARP Framework.
- 3.4 The Pillar I Specifications under Pillar I are structured as 6 Technical Specifications, namely this TS 1 up to TS 6.
- 3.5 The Pillar II Specifications 1 to 12 build on the Directive on System of Governance and Risk Management, which became effective 1 January 2018 as Circular 14 of 2022, and Circular 11 of 2021 which sought industry

feedback on the Own Risk & Solvency Assessment ('ORSA') process and requirements. Pillar III Specifications 1 to 9 implement the Pillar III Framework and build on from Circular 3 of 2020.

Key ZICARP Objectives

- 3.6 IPEC is seeking to align the assessment of solvency capital for insurers with the risks that they face. In particular, the ZICARP regime will be applied to insurance companies with a view:
- 3.6.1 To improve the safety and soundness of insurance companies in a bid to strengthen policy holder protection;
 - 3.6.2 To use the framework to form part of an early warning system with a supervisory ladder of intervention enabling IPEC to timely take necessary measures in the interest of policyholders;
 - 3.6.3 To enable orderly exit of insolvent insurance companies from the market;
 - 3.6.4 To improve confidence in the insurance sector;
 - 3.6.5 To address some of the shortcomings in the insurance industry that were highlighted by the Presidential Commission of Inquiry;
 - 3.6.6 To promote standardization across the Zimbabwean insurance market;
 - 3.6.7 To align with international regimes and best practice in solvency assessment and management; and
 - 3.6.8 To improve disclosure and transparency in the insurance sector thereby promoting confidence and strengthening policy holder protection.

Key ZICARP Influencers

- 3.7 ZICARP was largely influenced by the following:
- 3.7.1 Insurance Core Principles ('ICP's) developed by the International Association of Insurance Supervisors (IAIS); and
 - 3.7.2 Solvency II, Australian Prudential Regulation Authority, Solvency Assessment and Management framework of South Africa and other African jurisdictions that embarked on the journey to implement solvency management regimes.

- 3.8 It is important to note that while ZICARP was influenced by other solvency management regimes in Africa and globally, the final framework was adapted for features that are unique to the Zimbabwean economic environment and insurance market, such as lack of resources and depth of financial markets.

4. Structure of ZICARP Pillar I Framework for Insurers

4.1 The Pillar I framework for insurers is organised as follows:

Pillar I Component	Pillar I Technical Specification(s)
ZICARP balance sheet, and overview of the RBC framework	TS 1 – Overall Risk Based Capital ('RBC') Framework
Valuation of Assets and Non-Technical Provisions	TS 2 – Technical Specification for Valuation of Assets and Non-Technical Provisions
Valuation of Technical Provisions	TS 3 – Technical Specification for Valuation of Technical Provisions
Determination of Eligible Own Funds	TS 4 – Technical Specification for Determination of Eligible Own Funds
Determination of Minimum Capital Requirement	TS 5 – Technical Specification for Calculation of Minimum Capital Requirements
Determination of Solvency Capital Requirement	TS 6 - Technical Specification for Calculation of Solvency Capital Requirements: TS 6.1 - Technical Specification for Calculation of Market Risk capital requirement TS 6.2 - Technical Specification for Calculation of Life Underwriting Risk capital requirement TS 6.3 - Technical Specification for Calculation of Non-Life Underwriting Risk capital requirement TS 6.4 - Technical Specification for Calculation of Operational Risk capital requirement

5. Duties and Accountabilities under ZICARP Framework

- 5.1 The ZICARP framework requires individuals within insurers to fulfil certain roles and responsibilities. This section provides an overview of these roles and responsibilities, as they relate to the three Pillars of ZICARP.
- 5.2 Specifically, it covers the roles and responsibilities of an insurer's Board of Directors, Actuarial, Risk Management, Compliance, Internal and the External Audit Function.
- 5.3 Detailed roles and accountabilities are further outlined in the Governance and Risk Specifications 2, 3 and 4.

Board of Directors

- 5.4 The ultimate responsibility for the solvency assessment and management of the insurer rests with the Board of Directors ('Board'). The Board of an insurance company must ensure that the insurer meets all the risk-based capital requirements at all times.
- 5.5 Specifically, the Board must ensure the following at all times under ZICARP:
 - 5.5.1 That an insurer holds appropriate level and quality of capital that is commensurate to the risks to which the insurer is exposed;
 - 5.5.2 That there are procedures put in place to continuously monitor the financial health of the insurer, and to identify all possible deteriorations in capital or business conditions of an insurer; and
 - 5.5.3 That IPEC is notified within a reasonable time, normally interpreted as three calendar months, of any circumstances that may lead to deterioration of the financial health of an insurer or of circumstances that may cause an insurer to break any of the risk-based capital requirements under ZICARP.

Actuarial Function

- 5.6 The Actuarial Function within an insurer reports to the Board and must ensure that:

- 5.6.1 Valuation of technical provisions and calculation of capital requirements are accurate and compliant with the requirements of the ZICARP framework;
 - 5.6.2 Assumptions used to value technical provisions and calculate capital requirements are appropriate and compliant with the requirements of the ZICARP framework;
 - 5.6.3 Assumptions and solvency calculations under ORSA are appropriate and compliant with the requirements of the ZICARP framework; and
 - 5.6.4 There is an effective implementation of the risk management system with regards to risk modelling underlying the calculation of the SCR and MCR.
- 5.7 The Head of the Actuarial Function or the Appointed Actuary shall report to IPEC directly and within one (1) month in circumstances:
- 5.7.1 Where the insurer has breached, or is likely to breach the Absolute Minimum Capital Requirements under ZICARP;
 - 5.7.2 Where the insurer has ceased holding effective reinsurance cover;
 - 5.7.3 Where an insurer or its directors may have contravened the Act or any other law and the contravention may prejudice the interests of the policyholders; and
 - 5.7.4 Any other circumstances have been established that will compromise the insurer's ability to meet policyholder obligations.

Risk Management Function

- 5.8 The Risk Management Function within an insurer reports to the Board and must:
- 5.8.1 Provide specialist analysis and perform risk reviews;
 - 5.8.2 Identify, measure, monitor and report the risks the insurer faces;
 - 5.8.3 Gain and maintain an aggregated view of the risk profile of the insurer at an enterprise-wide and individual business unit level;
 - 5.8.4 Conduct regular stress testing and scenario analyses, including in respect of outliers or matters with low probability but high

potential impact (Stress Testing and Scenario Analysis framework is included under ORSA); and

5.8.5 Have oversight of ERM and ORSA implementation.

Internal Audit Function

- 5.9 The Internal Audit function shall perform regular independent and objective assessments of key components of the ZICARP framework.
- 5.10 The Internal Audit function shall submit a report to the board of the insurer with its material findings and remediations on key components of the ZICARP framework. Such a report will further be furnished to IPEC within thirty days after conduct of the audit.
- 5.11 However, shall there be material issues which prejudice policyholders or threaten viability of the insurer the head of internal audit shall immediately report to the Commission.

Compliance Function

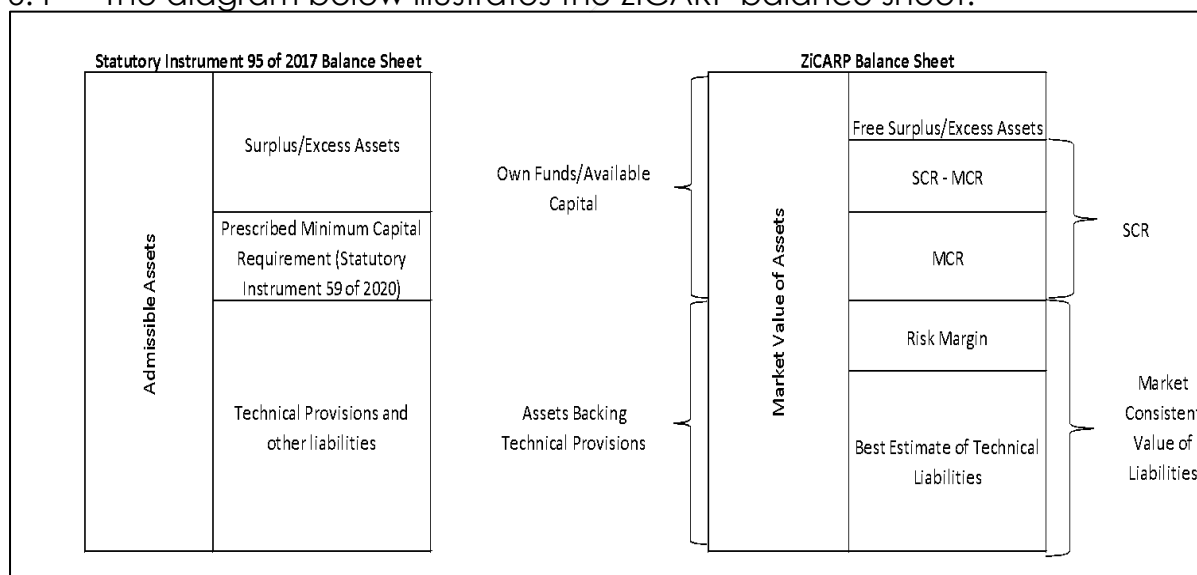
- 5.12 The Compliance Function shall have the authority and obligation to promptly inform the chairperson of the board directly in the event of any contravention of the Insurance Act [Chapter 24:07] and any other major non-compliance by a member of management or any staff member for that matter or a material non-compliance by the insurer with the ZICARP framework or an external obligation.
- 5.13 This shall apply where he or she believes that management is not taking the necessary corrective actions and a delay would be detrimental to the insurer or its policyholders. The chairperson of the board will be required to report to IPEC any such occurrences and institute an investigation and/or remedial action within seven (7) days.
- 5.14 Detailed roles and accountabilities under ZICARP are further outlined in the IPEC Directive on the System of Governance and Risk Management.

External Audit

- 5.15 The External Auditor must audit the financial health of an insurer in accordance with its legal and regulatory obligations.
- 5.16 The Auditor must report to the Board of Directors and IPEC any matters identified during the audit process that may cause the insurer not to be financially sound.
- 5.17 The external auditor must assess the information disclosed by the insurer in its SFCR taking note that any information which is outside the scope of the audit engagement is consistent with the relevant elements of the SFCR.
- 5.18 The external audit will be on an annual basis keeping in line with the frequency of the internal audit.

6. ZICARP Balance Sheet

- 6.1 The basic underlying principle of ZICARP is that assets and liabilities must be valued on the basis of their economic value. The economic value of assets and liabilities can be described as the amount which two knowledgeable and willing parties would transact in an arm's length transaction that involves either exchange of Assets or a transfer of the Liabilities. This section gives an overview of the items contained in a ZICARP balance sheet.
- 6.2 The ZICARP Balance Sheet is divided into two parts: Technical Provisions and other items other than technical provisions. Items other than technical provisions include:
- 6.2.1 Assets less Non-Technical Liabilities or Provisions; and
- 6.2.2 Available Capital or Own Funds, being Assets less Liabilities.
- 6.3 ZICARP further requires that insurance companies hold enough available own funds to meet the Minimum Capital Requirement ('MCR') and the Solvency Capital Requirement ('SCR').
- 6.4 The diagram below illustrates the ZICARP balance sheet:



- 6.5 ZICARP requires insurers to value the assets and liabilities on their balance sheet in line with the requirements set out in Technical Specification 2

and 3. This section gives an overview of the items contained in a ZICARP balance sheet.

Assets less Non-Technical Provisions

- 6.6 The economic value of the assets and liabilities, other than technical provisions, must make as much use as possible of the IFRS valuation rules.
- 6.7 In determining the economic value, the insurer must make as much use as possible of the observable market prices or, if that is not possible, other information from the market.
- 6.8 The valuation principles for assets and non-technical liabilities are outlined in Technical Specification 2.

Technical Provisions

- 6.9 Technical Provisions are determined as the market consistent value of policyholder liabilities.
- 6.10 Technical provisions under ZICARP should be calculated on a best estimate basis and should reflect the probability-weighted present value of expected future cash flows, taking the time value of money into account.
- 6.11 Technical Provisions consist of a Best Estimate and Risk Margin component. Further details on their determination are outlined in TS 3 – Valuation of Technical Provisions.

Minimum Capital Requirement

- 6.12 The Minimum Capital Requirement ('MCR') represents the minimum level of Eligible Own Funds that is required to protect policyholders.
- 6.13 The MCR is the lowest threshold below which a breach of the MCR would trigger the strongest regulatory action by the Commission. Further detail on MCR determination is outlined in TS 5.

Solvency Capital Requirement

- 6.14 Solvency Capital Requirement ('SCR') is the main regulatory capital requirement under ZICARP. The SCR represents the amount of Eligible Own Funds that an insurer requires to survive a loss event at a given probability level or confidence level.
- 6.15 The SCR is thus a Value-at-Risk measure of the Eligible Own Funds. It is calculated at a particular confidence level over a defined period – typically one-year which is typically the period between actuarial valuations. The amount of Eligible Own Funds will therefore allow an insurer to absorb losses at that particular confidence level.
- 6.16 The SCR represents the minimum level of Eligible Own Funds a company requires to operate as a going-concern with no regulatory intervention.
- 6.17 The SCR under ZICARP is calculated using a Standardised Formula. ZICARP does not currently allow for the use of internal models in calculating the SCR. Further detail on SCR determination is outlined in TS 6 .

Eligible Own Funds

- 6.18 Eligible Own Funds ('EOF') are the amount of available capital the insurer has to absorb losses. They are classified into different tiers depending on the quality of the different sources of available capital. EOF comprises of Basic Own Funds and Ancillary Own Funds:
- 6.18.1 Basic Own Funds ('BOF') are the excess of assets over liabilities plus subordinated liabilities, less any regulatory adjustments or deductions as set out in TS 4. Deductions can include e.g. a proportion of intangible assets which are deducted from the excess of assets over liabilities; and
- 6.18.2 Ancillary Own Funds ('AOF') are off-balance sheet capital resources that can be called upon to absorb losses and are set out in TS 4. They include guarantees and letters of credit. AOF are in addition to BOF.
- 6.19 Further detail on the determination of Eligible Own Funds is outlined in TS 4.

7. Technical Specification 2: Assets less Non-Technical Provisions

- 7.1 This section outlines how assets and liabilities, other than technical provisions need to be valued, explaining the general principles as well as considerations specific to their valuation.

Valuation of Assets

- 7.2 Assets must be valued at fair value, except where the Commission prescribes otherwise.
- 7.3 Fair value is defined as the price that would be received from selling an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date.
- 7.4 If market prices are not available, then insurers must use asset values obtained from independent valuations done by suitably qualified professionals.
- 7.5 Expected reinsurance recoveries must be shown as an asset on the balance sheet, rather than as a reduction in gross liabilities. Additionally, the recoveries must be adjusted to allow for the best estimate of expected losses due to the default of the reinsurer. The expected losses due to default of the reinsurer is calculated as the present value of the expected losses in each future year.

Valuation of Non-Technical Liabilities

- 7.6 Insurers must value their non-technical provisions using the relevant International Financial Reporting Standards.

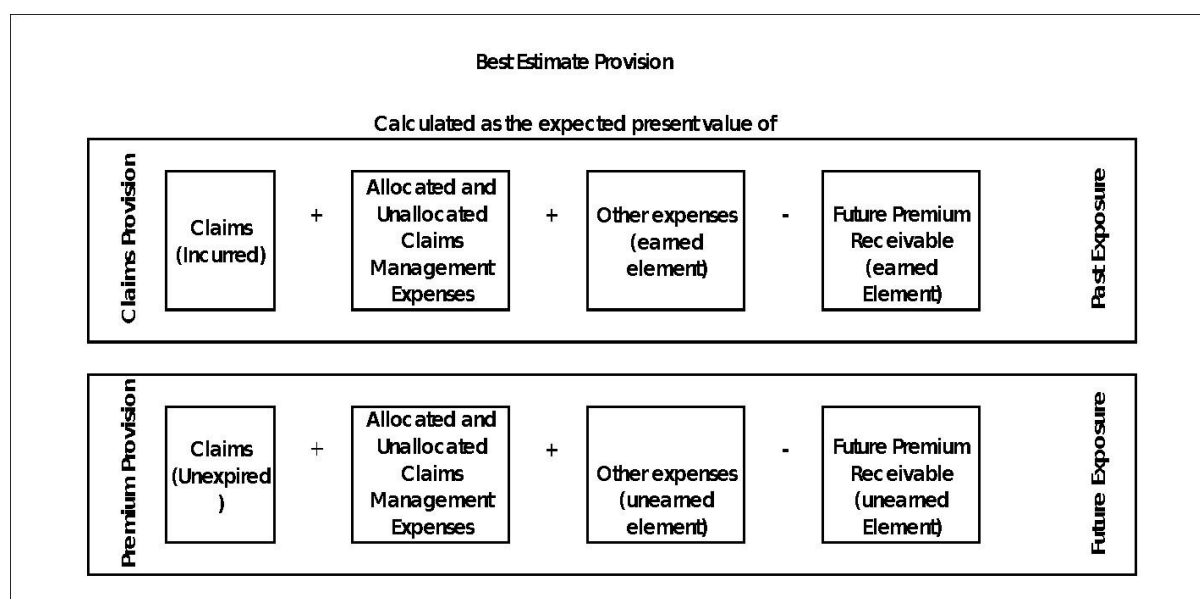
8. Technical Specification 3: Technical Provisions

- 8.1 The valuation of technical provisions is based on a market consistent valuation approach. Technical provisions should represent the amount that the insurer would have to pay in order to transfer its obligations immediately to another insurer.
- 8.2 The market value of technical provisions is defined as consisting of a best estimate liability plus a risk margin. The calculation of technical provisions should be segmented by homogeneous product type.

Best Estimate Liability

- 8.3 The best estimate liability under ZICARP is defined as the present value of expected future cash flows up to the contract boundary discounted using the proxy risk-free rate of interest.
- 8.4 All assumptions used to value technical provisions should be best estimate and must not contain any prudential margins. Additionally, the cash flow projections must allow for all expected decrements and policyholder actions, including lapses. Insurance companies must take into account all relevant available data, both internal and external, when arriving at assumptions that best reflect the characteristics of the underlying insurance portfolio.
- 8.5 When valuing technical provisions, future premiums can be taken into account up to the contract boundary. The contract boundary is generally defined as the point at which an insurer can:
- 8.5.1 Unilaterally terminate the contract; or
 - 8.5.2 Refuse to accept a premium or change the premiums or benefits in such a way that they fully reflect the risks.
- 8.6 For life insurance business this normally means the maturity or expiry date of the contract, or in some cases an earlier date at which premiums or benefits are reviewable so that they fully reflect the risks. For non-life insurance this normally means the date of the next policy renewal.

- 8.7 Best estimate liability estimates should allow for future expenses that take into account both overheads and directly attributable expenses, and future expense inflation.
- 8.8 The diagram below shows the structure of best estimate liabilities for non-life insurers:



Adopted from: (Institute and Faculty of Actuaries General Insurance Reserving Oversight Committee's Working Paper of Solvency II Technical Provisions, August 2013)

Risk-free discount Rates

Interim Approach – Proxy rates

- 8.9 In the interim, insurers and reinsurers shall discount their liabilities using prescribed proxy risk free discount rates provided by the Commission, until such a time when an active local bond market emerges.

Long-term Approach – Government Bond Yield

- 8.10 In the presence of an active bond market in Zimbabwe, insurers shall apply the government bond yield curve as the default for the risk-free

term structure of interest rates. The risk-free term structure shall be used to discount the insurer's technical provisions.

Risk Margins

- 8.11 The insurer's technical provisions shall consist of the best estimate liability and the risk margin.
- 8.12 The purpose of the risk margin shall be to increase the insurer's technical provisions to the amount that would be paid to another insurer in order for that other insurer to take on the best estimate liability i.e. the risk margin is the part of the technical provisions that ensures that the value of the technical provisions is equivalent to the amount that another insurer would be expected to be paid to take over and meet the insurance obligations of the insurer. It therefore represents the theoretical compensation for the risk of future experience being worse than the best estimate assumptions, and for the cost of holding regulatory capital against this.
- 8.13 Risk margins under ZICARP shall be calculated using either:
 - 8.13.1 The cost of capital method; or
 - 8.13.2 A simplified percentage approach. Under this method, the risk margin is calculated as a percentage of the best estimate liability with the percentages used in the calculation being prescribed from time to time by IPEC.

9. Technical Specification 4: Eligible Own Funds

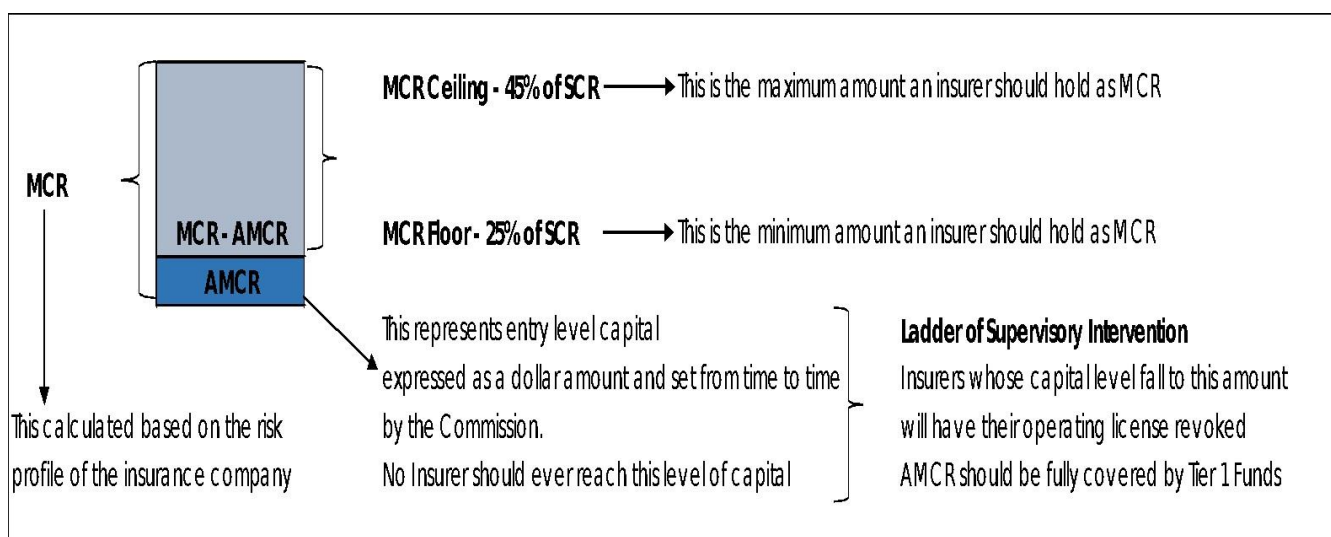
- 9.1 Eligible Own Funds refers to the assets in excess of technical provisions, including any subordinated debt.
- 9.2 Eligible Own funds under ZICARP are split into two categories: Basic Own Funds and Ancillary Own Funds. Basic Own Funds ('BOF') is capital that exists within the insurer (including subordinated liabilities and excluding any regulatory adjustments or deductions). Ancillary Own Funds ('AOF') are off-balance sheet capital resources that can be called upon to absorb losses e.g., unpaid share capital, guarantees or letters of credit.
- 9.3 The capital of an insurer is classified into three tiers depending on its quality in terms of loss absorbency and permanence. Tier 1 capital is the highest quality capital and Tier 3 capital is the lowest quality capital.
- 9.4 Presented in the diagram below are the general restrictions placed on the quality of capital that can be used to cover SCR and MCR under ZICARP:
- 9.5 Further details on the determination of Own Funds, in particular the Allowable or Eligible Own Funds ('EOF'), are outlined in TS 4.

General Limit on Capital

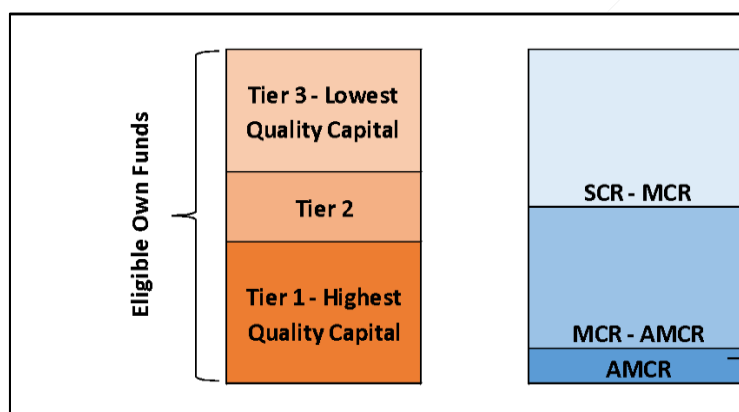
Tier 3 – 15% (max)	Tier – N/A
Tier 2 – 35%	Tier 2 – 20% (max)
Tier 1 – 50% (min)	Tier 1 – 80% (min)
SCR	MCR

10. Technical Specification 5: Minimum Capital Requirements

- 10.1 **Minimum capital requirement:** The capital level representing the final threshold that triggers ultimate supervisory measures in the event that it is breached.
- 10.2 For both life and non-life insurers, the MCR is calculated using a linear formula which is calibrated to the Value-at-Risk of the basic own funds of an insurer, subject to a confidence level of 85% over a one-year period.
- 10.3 The linear formula uses various volume measures as its inputs. The linear formula for life insurance obligations uses technical provisions excluding the risk margin, and capital-at-risk as inputs whilst the linear formula for non-life insurance obligations uses technical provisions excluding the risk margin and net earned premiums.
- 10.4 The MCR has a floor of 25% and a cap of 45% of the SCR. Additionally, there is an absolute minimum capital requirement that insurers must meet at all times.
- 10.5 The Absolute Minimum Capital Requirement ('AMCR') under ZICARP is the absolute floor and is dependent on the type of business the insurer is writing.
- 10.6 It further depends on the stipulated monetary minimum capital amount for each type of insurer. The AMCR will be determined by IPEC from time to time.
- 10.7 The diagram below depicts the relationship between AMCR and MCR:



10.8 The relationship between AMCR, MCR, SCR and Eligible Own Funds is presented in the diagram below:



Recommended Absolute Minimum Capital Requirement ('AMCR')

10.9 The recommended AMCR or absolute floor shall depend on the type of business the insurer has. Additionally, it further depends on the stipulated monetary minimum capital amount for each type of insurer will be and shall be determined by the Commission from time to time.

10.10 It should be noted that insurers should compute and record the risk-based capital amounts (combined MCR) obtained.



10.11 The combined MCR capital amounts will be analysed and used to come up with the appropriate Absolute Minimum Capital Requirement under ZICARP.

11. Technical Specification 6: Solvency Capital Requirement

SCR Overview

- 11.1 The Solvency Capital Requirement ('SCR') is the key regulatory requirement under ZICARP. It represents the amount of Own Funds that an insurer requires to survive a loss event at a 99.5% probability level or confidence level over a one-year period. The SCR is thus a Value-at-Risk measure of the insurer's Own Funds.
- 11.2 The SCR represents the minimum level of Own Funds a company requires to operate as an ongoing concern with no regulatory intervention.
- 11.3 The SCR under ZICARP is calculated using a Standardised Formula. ZICARP does not currently allow for the use of internal models in calculating the SCR.

SCR Sub-Risk Components

- 11.4 The SCR addresses the following key risk categories to which insurers are potentially exposed:
 - 11.4.1 Market risk: the risk of loss arising from movements in market prices on the value of the insurer's assets and liabilities, and losses that arise from the default of the insurer's counterparties.
 - 11.4.2 Underwriting risk: the risk of loss arising from insurance obligations, such as from poor claims experience, expense over-runs and policy lapses.
 - 11.4.3 Operational risk: the risk of loss arising from inadequate or failed internal processes, people and systems, or from external events.
- 11.5 This means that the capital required for market risk is calculated from the impact of an adverse scenario on the level of Basic Own Funds. The scenario shocks are applied on to the total statutory balance sheet of an insurer.

Determination of SCR

- 11.6 The standardised formula for calculating SCR adds the Basic Solvency Capital Requirement ('BSCR') to the Operational Risk Capital and to the required capital for group undertakings.
- 11.7 The BSCR is the required capital contribution for the following risk components which are calculated as the reduction in Basic Own Funds due to the 1 in 200-year worse case event, aggregated with allowance for correlation between the risk components:
- 11.7.1 Market risk;
 - 11.7.2 Life underwriting risk; and
 - 11.7.3 Non-life underwriting risk.
- 11.8 The risk subcomponents are assumed not to be independent leading to a diversification benefit in the sub risk as well as overall capital calculation.
- 11.9 The **SCR Operational Risk** is the capital charge that insurers need to hold to cover themselves against losses that arise from inadequate or failed processes, systems or people or external events.
- 11.10 The **SCR Capital Add-On** represents the additional capital that may be imposed by the Commissioner over and above the SCR of the insurer if:
- 11.10.1 There are significant changes in an insurer's risk profile, and the insurers proposed risk mitigation responses are assessed to be inadequate;
 - 11.10.2 An insurer is in breach of any of the requirements under ZICARP Pillar I, II and III, and such breach is viewed as material and has the potential to result in an understatement of an insurer's SCR calculated using the standard formula; and
 - 11.10.3 There are material changes in the operating environment (insurance industry specific events or economy wide events) that have the potential to put into jeopardy the financial stability of the insurance industry as a whole.

12. Technical Specification 6.1: SCR Market Risk

- 12.1 Market risk arises from the level or volatility of market prices of financial instruments.
- 12.2 Under ZICARP we allow diversification of market risk into five sub risks; equity risk, property risk, counterparty default risk, currency risk, and concentration risk:
 - 12.2.1 Equity risk derives from the volatility of the market prices for equities.
 - 12.2.2 Property risk arises from volatility in the market prices on property.
 - 12.2.3 The counterparty default risk under ZICARP reflects all possible losses that may arise due to unexpected default or deterioration in credit worthiness of an insurer's counterparties and debtors over the next twelve months.
 - 12.2.4 Currency risk comes from the volatility of the currency rates.
 - 12.2.5 Concentration risk extends to assets considered in equity, interest rate, spread risk and property risk within the market risk and excludes risks covered by the counterparty default risk.

SCR Market Risk Structure

- 12.3 The SCR for market risk is derived by combining the capital requirements for the various market risk modules using a correlation matrix. The risk modules covered are:
 - 12.3.1 Equity risk;
 - 12.3.2 Property risk;
 - 12.3.3 Counterparty/default risk;
 - 12.3.4 Currency risk; and
 - 12.3.5 Concentration risk.

13. Technical Specification 6.2: SCR Life Underwriting Risk

- 13.1 Life underwriting risk is the risk arising from life insurance obligations, such as from poor claims experience, expense over-runs and policy lapses.

Calculation Methodology

- 13.2 The capital requirement for life underwriting risk is derived by combining the capital requirement for each risk module using a correlation matrix.
- 13.3 The capital requirement for each risk-module is taken as the impact on the Basic Own Funds of the shock event for that risk module.
- 13.4 Within each risk module an allowance is made for risk mitigation impacts and the associated risk of counterparty default risk.
- 13.5 The capital requirement for life underwriting risk allows for risks arising from existing insurance obligations and also makes an implicit allowance for risks arising from new business that is expected to be written over the following 12 months.
- 13.6 The sub risk modules covered under the life underwriting risk capital are:
- 13.6.1 Mortality risk;
 - 13.6.2 Longevity risk;
 - 13.6.3 Disability/morbidity risk;
 - 13.6.4 Life-expense risk;
 - 13.6.5 Life catastrophe risk;
 - 13.6.6 Retrenchment risk; and
 - 13.6.7 Lapse risk.

14. Technical Specification 6.3: SCR Non-Life Underwriting Risk

- 14.1 Non-life underwriting risk is the risk arising from non-life insurance obligations, such as from poor claims experience and expense over-runs.
- 14.2 The non-life underwriting risk module takes account of the uncertainty in the results of insurers having regard to existing insurance and reinsurance obligations, as well as to the new business expected to be written over the following 12 months.

Calculation Methodology

- 14.3 The SCR for non-life underwriting risk is determined by aggregating the capital requirements for the individual non-life underwriting risks using a correlation matrix.
- 14.4 Risk modules covered are:
- 14.4.1 Premium risk;
 - 14.4.2 Reserve risk; and
 - 14.4.3 Catastrophe risk.

15. Technical Specification 6.4: Operational Risk Capital

- 15.1 Operational risk refers to the risk of a change in value caused by the fact that actual losses, incurred for inadequate or failed internal processes, people and systems, or from external events (including legal risk) differ from the expected losses.
- 15.2 Operational risk under ZICARP is determined using a standardised approach. The determination of operational risk under the standardised approach uses a simple linear measure of operational risk based on the scale of the insurer's operations and implementation of the updated Circular 14 of 2022 and future amendments.
- 15.3 The formula for calculating operational risk is split into two parts:
- 15.3.1 Calculation of operational risks that arise from linked insurance obligations; and
 - 15.3.2 Calculation of operational risks that arise from non-linked insurance obligations.
- 15.4 The formula for calculating operational risk for linked insurance obligations is driven by the following factors:
- 15.4.1 Expenses incurred in managing linked insurance contracts; and
 - 15.4.2 The level of assets under management or the total amount of assets backing linked insurance obligations.
- 15.5 The formula for calculating operational risk arising from non-linked insurance obligations is driven by the following factors:
- 15.5.1 Level of compliance with the Circular 14 of 2022 - Directive on Corporate Governance and Risk Management and future amendments;
 - 15.5.2 Premium volume levels; and
 - 15.5.3 Best Estimate Liability estimates for non-linked insurance obligations.

16. TS1 – A1 Key ZICARP Adaptations and Simplifications

16.1 Tabulated below is a summary of key ZICARP simplifications and adaptations employed in response to the external economic environment and the structure of the insurance industry.

ZICARP Component	Standard approach	Description	ZICARP Adaptation and Simplification
Liability valuation guidelines	Liabilities should be discounted using a risk-free interest rate that corresponds to the term or duration	There is currently no active or deep bond market from which interest rate yield curves and term structure can be observed	Use of a proxy risk-free rate of interest to discount liabilities
	Insurance companies should hold risk margins, (calculated using cost of capital method), in addition to best estimate liabilities.		Adoption of simplifications to the calculation of risk margins, including option to apply Risk Adjustment calculated under IFRS 17.
Market Risk Capital Requirement	Interest rate risk		Adoption of an interim model that does not have a capital charge for interest rate risk until the emergence of an active local bond market. This ensures that insurance companies are not required to hold capital against risks that they cannot diversify.
	Equity risk and property risk capital requirements	High inflation and volatile asset values on financial markets. This introduces significant uncertainty and instability on the capital	Inclusion of symmetric adjustment factor to the standard capital shock that ensures that capital requirements are not too sensitive to volatilities on the financial markets, and hence increase the stability of

		requirements of insurance companies.	insurance company balance sheets
	Credit risk capital requirements	Credit risk under Solvency II and other risk-based capital regimes is estimated using credit ratings given by Standards and Poor. Most, if not all, Zimbabwean financial services entities are not rated by S & P, and hence adoption of the standard approach to credit risk capital calculations results in very high credit risk capital charges	Use of an internal rating system for unrated entities which takes into account the financial strength of the financial institutions that insurance companies invest with or transfer risk to.
Life Underwriting Risk Capital Requirement	All life underwriting risk sub-modules	Simple products and potential data challenges may complicate the application of standard formulas used to calculate capital amounts for the sub-risk modules under life underwriting risk	Use of simplified formulas for calculating capital requirements for the sub-risk modules under life underwriting risk capital requirement module
Non-Life Underwriting Risk	All non-life underwriting risk sub-modules	Simple products and potential data challenges	Use of simplified formulas and risk factors for calculating capital requirements for the

Capital Requirement		challenges may complicate the application of standard formulas used to calculate capital amounts for the sub-risk modules under non-life underwriting risk.	sub-risk modules under non-life underwriting risk capital requirement module.
Overall Capital Requirement	Solvency Capital Requirement	Volatile Environment	Inclusion of a capital add-on to the overall solvency capital requirement. This will allow periodic adjustments to be done to SCR amounts to cater for any volatilities in the operating environment that may affect the risk profile of the insurance company.

17. Glossary

Catastrophe risk: The risk that a single event, or series of events, of major magnitude, usually over a short period (often 72 hours), leads to a significant deviation in actual claims from the total expected claims.

Claims risk: An underwriting risk. A change in value caused by ultimate costs for full contractual obligations (claims without administration costs) varying from those assumed when these obligations were estimated.

Confidence level: Statistical measure of the level of certainty regarding an outcome, typically expressed as the probability value $(1 - \alpha)$ associated with a confidence interval.

Counterparty credit risk: The risk of a change in value due to actual credit losses deviating from expected credit losses due to failure to meet contractual debt obligations.

Default risk: The risk of a change in value caused by the fact that actual default rates deviate from expected default rates with respect to non-payment of interest or principle.

Economic balance sheet: Balance sheet statement based on one of those accounting approaches using market-consistent values for all current assets and current obligations relating to in-force business, including off-balance sheet items.

Economic capital: Internally defined capital measure based on the companies' valuation of the market-consistent value of assets minus the market-consistent value of obligations.

Economic value: The practise of valuing assets and liabilities on market values where observable with a given quality (mark-to-market), where not, on market consistent valuation techniques (mark-to-model).

Equity risk: The risk of a change in value caused by deviations of the actual market values of equities and/or income from equities from their expected values.

Expense risk: The risk of a change in value caused by the fact that the timing and/or the amount of expenses incurred differs from those expected, e.g., assumed for pricing basis.

Fair value: The price that would be received from selling an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date.

Foreign exchange risk: The risk of a change in value caused by the fact that actual foreign currency exchange rates differ from those expected.

Funeral insurance: A life policy with a low sum assured intended to pay for the burial costs on the death of the insured.

Group insurance: Contracts in which insurance cover is provided to a number of insured people (normally a workforce) or a number of other individual risks of one party, usually the counterparty, or many affected parties, which are not necessarily parties under the contract, under a single master contract.

Inflation risk: The risk of a change in value caused by a deviation of the actual market-consistent value of assets and/or liabilities from their expected value, due to inflation, e.g., price inflation, wage inflation, etc., leading to an unanticipated change in insurance cost and/or impact of an insurance contract, e.g., with respect to contract limits.

Insurance group: A group structure which contains two or more insurers.

Insurance contract: A contract under which one party (the insurer) accepts significant insurance risk from another party (the policyholder) by agreeing to compensate the policyholder or its beneficiary if a specified uncertain future event (the insured event) affects the policyholder.

Lapse risk: The risks of a change in value caused by deviations from the actual rate of policy lapses from their expected rates.

Legal risk: The possibility that lawsuits, adverse judgements from courts, or contracts that turn out to be unenforceable, disrupt or adversely affect the operations or condition of an insurer.

Liability insurance: Type of non-life insurance that provides insurance to meet legal obligations to third parties arising from non-intentional acts or wrongs, e.g., negligence by the insured.

Life insurance: Category of insurance contracts for which the benefit payment is based on the occurrence of death, disability, or critical illness of the insured within the specified coverage term, or on the life status of the insured at maturity.

Liquidity risk: The risk stemming from the lack of marketability of an investment that cannot be bought or sold quickly enough to prevent or minimize a loss.

Longevity risk: Type of biometric risk. A change in value caused by the actual mortality rate being lower than the one expected.

Management risk: Type of business risk. The risk associated with an incompetent management or a management with criminal intentions.

Market consistent valuation: The practise of valuing assets and liabilities on market values where observable with a given quality (mark-to-market), where not, on market-consistent valuation techniques (mark-to-model).

Market value: The amount for which an asset could be exchanged, or a liability settled, between knowledgeable, willing parties in an arm's length transaction; based on observable prices within an active, deep and liquid market which is available to and generally used by the entity.

Mark to market valuation: The practice of valuing insurance rights and obligations, or more broadly security.

Mark to model valuation: The practice of valuing insurance rights and obligations, or more broadly security and financial instruments based on modelling.

Minimum capital requirement: The capital level representing the final threshold that triggers ultimate supervisory measures in the event that it is breached.

Model risk: The risk that a model is not giving correct output due to a misspecification or a misuse of the model.

Morbidity risk: Type of biometric risk. A change of value caused by the actual disability and illness rates of the persons insured deviating from the ones expected.

Mortality risk: Type of biometric risk. A change in value caused by the actual mortality rate being higher than the one expected.

Non-life insurance: Generic term used to refer to all types of insurance business other than Life insurance, including for example Property insurance, Liability insurance, Motor insurance, Accident insurance, and Health insurance.

Operational risk: Risk of a change in value caused by the fact that actual losses, incurred for inadequate or failed internal processes, people and

systems, or from external events (including legal risk), differ from the expected losses.

Premium risk: An underwriting risk. A change in value caused by ultimate costs for full contractual obligations (claims without administration costs) varying from those assumed when these obligations were estimated.

Regulatory capital: The capital level representing the final threshold that triggers ultimate supervisory measures in the event that it is breached.

Reinsurance: Type of risk mitigation on the basis of an insurance contract between one insurer or pure reinsurer (the reinsurer) and another insurer or pure insurer (the cedant), to indemnify against losses, partially or fully, on one or more contracts issued by the cedant in exchange for a premium.

Required economic capital: The total of assets measured at market-consistent value, internally required by an insurer above the market consistent value of obligations, in order to reduce the risk of not meeting the obligations to a defined risk measure and within a defined time period (e.g., one year).

Reserve risk: Relates to incurred claims, i.e., existing claims, (e.g., including IBNR and IBNER), and originates from claim sizes being greater than expected, differences in timing of claims payments from expected, and differences in claims frequency from those expected.

Risk margin: A generic term, representing the value of the deviation risk of the actual outcome compared with the best estimate, expressed in terms of a defined risk measure.

Solvency capital requirement: The amount of capital to be held by an insurer to meet the Pillar I requirements under ZICARP. It represents the amount of Own Funds that an insurer requires to survive a loss event at a 99.5% probability level or confidence level over a one-year period.

Technical provision: An insurer's contractual obligations/rights under an insurance contract.

Total balance sheet approach: Principle which states that the determination of an insurer's capital that is available and needed for solvency purposes should be based upon all assets and liabilities, as measured in the regulatory balance sheet of the insurer, and the way they interact.